MIZAN

BUSINESS UNIT STRATEGY · PHARMACY RETAIL

Mizan Pharmacy Retail

264-branch pharmacy retail chain across KSA — community pharmacy with clinical services.

BU Strategy · Plan period FY 2026 – FY 2028 · Today 1 June 2026

Office of the Chief Executive · Mizan Holding Company B.S.C. (Closed) · Riyadh, Kingdom of Saudi Arabia

Mizan Pharmacy Retail, FY 2026

REVENUE 2025A	REVENUE 2026F	EBITDA % 2026F	HEADCOUNT
SAR 1,640M	SAR 1,800M	12.0%	2,840
+9.3% YoY	+9.8% YoY	vs 11.6% in 2025	2006 founded

Mission

Be the most trusted pharmacy on every Saudi family's high street — and the integrated platform for prescription, OTC, beauty, and clinical add-on services.

Strategic intent

Outgrow modern-pharmacy peers via clinical-services counter expansion (140 stores by 2028) and private-label margin (target 18% of basket by 2028). Defend against e-pharmacy by owning click-and-collect through Mizan E-Pharmacy bundle.

Current state, mid-2026

Mizan Pharmacy Retail had its strongest year in 2025 — 264 stores, SAR 1.64B revenue, 11.6% EBITDA margin. Like-for-like +6.1% YTD 2026. Clinical-services counter is at 86 stores; private-label penetration is 11%. Saudi pharmacist Saudisation at 58% versus 65% Vision 2030 target by 2028.

02 · MARKET CONTEXT

The KSA pharmacy retail market

The KSA pharmacy retail market is sized at **SAR 34B** in 2026 (forecast), growing at **9.7%** for the year and a projected **11.8–10.5%** CAGR through 2028. Pharmacy Retail's 2026 revenue of SAR 1,800M implies a market share of approximately **5.3%**.

	2024A	2025A	2026F	2027F	2028F
Market size (SAR B)	28	31	34	38	42
Market growth %	+6.8%	+10.7%	+9.7%	+11.8%	+10.5%
Pharmacy Retail revenue (SAR M)	1,500	1,640	1,800	1,980	2,180
Pharmacy Retail share	5.36%	5.29%	5.29%	5.21%	5.19%

Demand drivers

Modern-pharmacy chain consolidation; clinical-services counter expansion (vaccination, BP, glucose); private-label growth; insurance-mix expansion; OTC + beauty channel mix shift.

Regulatory environment

SFDA pharmacy licensing; MoH (clinical-services counter scope); CCHI / Saudi Insurance Authority (Rx reimbursement); Saudi Commission for Health Specialties (pharmacist licensing).

Vision 2030 programme linkages

Health Sector Transformation Program · Saudisation of pharmacists · Quality of Life Program.

03 · COMPETITIVE LANDSCAPE

How we compete in Pharmacy Retail

Our 2028 ambition is not to be the largest by revenue but to be the most integrated by capability and the most disciplined by margin. The competitive set is anchored by a handful of named operators below.

Competitor	2025 Rev (SAR M)	2025 EBITDA %	Strategic posture
Whites Pharmacy	2,180	12.4%	~340 stores + strong online; tech-forward.
Aman Pharmacies	1,840	11.0%	~280 stores; online competitive.
Mizan Pharmacy Retail (us)	1,640	11.6%	**Outgrow modern-pharmacy peers via clinical-services counter expansion (140 stores by 2028) and private-label margin (target 18% of basket by 2028). Defend against e-pharmacy by owning click-and-collect through Mizan E-Pharmacy bundle.**

Biggest competitive threat to manage

Al-Nahdi Medical Co at SAR 8.84B and ~1,200 stores — the dominant scale player. United Pharmacies at SAR 3.65B is the closest mid-scale peer. Whites Pharmacy at SAR 2.18B is the tech-forward differentiator.

Biggest competitive opportunity to capture

Clinical-services counter. Vaccination + BP + glucose + diabetes screening at 140 stores by 2028 transforms the gross margin profile of those stores by SAR 8-12k/store/month. Combined with private-label this is +240bps store-level EBITDA.

Revenue, EBITDA, cash and operating KPIs — 2026-2028.

Financial trajectory

	2024A	2025A	2026F	2027F	2028F
Revenue (SAR M)	1,500	1,640	1,800	1,980	2,180
YoY growth	—	+9.3%	+9.8%	+10.0%	+10.1%
EBITDA margin %	11.2%	11.6%	12.0%	12.8%	14.0%
EBITDA (SAR M)	168	190	216	253	305

2026 operating KPIs (Pharmacy Retail-specific)

Metric	Value 2026
Stores	264
Like-for-like growth 2026 YTD	+6.1%
Avg basket (SAR)	142
Rx as % of revenue	52%
OTC + beauty as % of revenue	48%
Saudi pharmacists / total dispensing FTEs	58% (Vision 2030 target 65% by 2028)
Stores with clinical-services counter	86

05 · STRATEGIC INITIATIVES 2026-2028

The four to six things we will do that matter.

The plan is operationalised through the discrete initiatives below. Each has a named owner (the BU CEO) and a quarterly milestone reported through the StrategyOS Monday Brief.

1. Tier-2 city expansion — 28 new stores in Tabuk, Najran, Hail, Jazan
2. Clinical-services counter rollout — vaccination, BP, glucose, diabetes screening at 140 stores by 2028
3. Beauty + private-label expansion — target 18% of basket by 2028 from 11% today
4. Saudisation pipeline — apprenticeship-to-permanent for 280 Saudi pharmacist hires
5. Click-and-collect integration with Mizan E-Pharmacy — fully live Q3-2026

Vision 2030 programme alignment

Health Sector Transformation Program · Quality of Life Program · Saudisation of pharmacists

06 · BU-LEVEL RISKS

What could break the plan.

R-06 — Pharmacist Saudisation requirement Impact: M · Likelihood: H

Pharmacist Saudisation target 65% by 2028 (currently 58%). HRSD tightening tier requirements; non-compliance risks store-level licence suspensions.

Mitigation: Pre-emptive hiring + apprenticeship-to-permanent pipeline (target 280 conversions); SCFHS partnership for accelerated licensing; HRDF subsidy capture.

R-07 — Cyber / health-data sovereignty Impact: H · Likelihood: L

NDMO data-classification audit Q4-2026; Digital Health and E-Pharmacy hold sensitive patient data. Non-sovereign LLM use is a finding-risk under tier-3 guidelines.

Mitigation: StrategyOS sovereign Tier-3 deployment in place; NDMO pre-engagement clean; data-locality controls enforced.

R-10 — E-pharmacy regulatory headwind Impact: M · Likelihood: L

SFDA online-pharmacy framework still evolving; possible scope restrictions on direct-to-consumer cold-chain Rx; competitive entry by Amazon Pharmacy / multinational players.

Mitigation: Active SFDA engagement; click-and-collect channel as buffer; NPHIES integration moat; bundled clinical services.

07 · CAPITAL ASK 2026-2028

Investment to deliver the plan.

Cumulative capital ask 2026-2028: SAR 310M. Funded from a combination of BU-generated cashflow, group capital recycling, and the SAR 2.65B group envelope. Note: *Tier-2 city store build-out (28 stores), clinical-services counter rollout, store refresh cycle.*

Governance

BU CEO is the named owner of every initiative and every number in this plan. Monthly performance is reviewed at the Executive Committee. Quarterly progress is reported to the Board. The Monday Brief surfaces variance vs plan in real time.

BU sponsor: Hala Al-Saud, CEO Mizan Pharmacy Retail.
Group oversight: Khalid Al-Rashed, Group CEO.
Plan effective from: 12 January 2026 (Board-approved).